

Economic Procedure and Financial Accountability Act, 2019

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Financial Procedures and Fiscal Responsibility Act, 2076".

(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Audit" means the audit conducted by the Office of the Auditor General pursuant to Article 241 of the Constitution.

(b) "Budget Code" means the code assigned to a Constitutional Body, Ministry, or Secretariat and Commission having jurisdiction equivalent to a Ministry, distinguishing the nature of work and organization as well.

(c) "Amount Recoverable" means the irregular amount determined as recoverable due to payment made contrary to law, payment made in excess, or recovery of a lesser amount at the time of audit, and such term also includes embezzled or misappropriated amounts and any other amount payable or deliverable to the Government of Nepal.

(d) "Internal Audit" means the work of examining, testing, and analyzing laws related to performance consistent with the objectives of the concerned office, management practices, accounts and other transactions and related documents and procedures, as well as evaluating the overall internal control system and reporting, conducted by the Fund and Account Controller Office or the Provincial Account Controller Office.

(e) "Fiscal Year" means a period of twelve months commencing from the first day of the month of Shrawan of each year and ending on the last day of the month of Ashad of the following year.

(f) "Higher-level Officer" means, in the case of a Head of Office, the concerned departmental head; in the case of a departmental head, the Secretary of the concerned Ministry, Secretariat and Commission; in the case of a Secretary, the concerned Minister of State or Minister; and in the case of a Secretary or administrative head of a Constitutional Body or Agency, the head of the concerned Constitutional Body or Agency.

(g) "Office" means all government offices of the Federal, Provincial and Local levels, including the Office of the President, Office of the Vice-President, Supreme Court, Federal Parliament Secretariat, Constitutional Bodies, Commissions, Office of the Provincial Chief, Courts, Office of the Attorney General, Nepal Army, Nepal Police, Armed Police Force, Nepal, and so forth.

(h) "Head of Office" means the officer or person designated as the administrative head to carry out the work of the office.

(i) "Transaction" means all works related to expenditure or deposit made in the course of taking charge of government movable and immovable, cash and kind assets and performing designated work in accordance with prevailing law, and such term includes all financial transactions related to financial transfers, revenue collection and deposit, receiving grants and loans, incurring expenditure, as well as deposits, working funds, and other funds.

Added by the first amendment.(i1) "Central Body" means a Constitutional Body, Commission, Secretariat, and a body operating at the central level of the Government of Nepal.

(j) "Fund and Account Controller Office" means a Fund and Account Controller Office established under the Office of the Comptroller General.

(k) "Responsible Person" means a person who has the duty, in accordance with authority obtained from the Accounting Officer or as determined under this Act, to conduct designated work, take charge, incur expenditure, maintain accounts, report, arrange for internal or final audit and settle irregularities, recover or cause to recover government cash or kind, and deposit or cause to deposit, and such term also includes a non-government person responsible for settling work for government purposes, whether or not having taken charge of government cash or kind.

(l) "Supervising Office" means an office at a higher level than the concerned office.

(m) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

(n) "Provincial Consolidated Fund" means the Provincial Consolidated Fund pursuant to Article 204 of the Constitution.

(o) "Provincial Account Controller Office" means the office designated to operate the Provincial Consolidated Fund, issue directives for operating the provincial financial administration, prepare or cause to prepare provincial accounts, conduct or cause to conduct internal audit of offices under the province, and prepare the consolidated financial statement of the province and submit it to the Office of the Comptroller General and the Auditor General. Added by the first amendment.(o1) "Extra-Budgetary Public Entity" means, other than an Office, a Commission, Council, Authority, Board, Fund, Committee, or a public entity of similar nature, established pursuant to prevailing law, which receives grants from the Government of Nepal or is established to fulfill a prescribed responsibility under prevailing law.

(p) "Irregularity" means a transaction pointed out or determined during an audit as having been conducted without completing the necessary formalities as required by prevailing law, or without maintaining accounts that ought to have been maintained, or conducted in an irregular or improper manner.

(q) "Bank" means Nepal Rastra Bank, and such term also includes a commercial bank designated by Nepal Rastra Bank to conduct government transactions, exercising the authority of Nepal Rastra Bank.

(r) "Ministry" means a concerned Ministry of the Government of Nepal.

Added by the first amendment.(r1) "Line Ministry Budget Information System (LMBBIS)" means the information system implemented by the Ministry of Finance for budget formulation and implementation.

(s) "Subordinate Office" means an office under the authority of the concerned office.

(t) "Office of the Comptroller General" means the body that, subject to this Act and the rules made under this Act, operates and manages the Federal Consolidated Fund and other Government Funds, maintains records

of movable and immovable government property and reports, conducts or causes to conduct financial administration, direction, control and internal audit, and prepares or causes to prepare consolidated financial statements of the Federal, Provincial and Local Level Governments.

(u) "Planning Commission" means the National Planning Commission.

(v) "Accounting Officer" means the Secretary acting as the administrative head responsible for operating the financial administration of his/her own and subordinate offices, preparing the annual budget and delegating authority to receive budget disbursement and incur expenditure, maintaining or causing to maintain accounts, preparing or causing to prepare financial statements, arranging for internal and final audit of appropriations, revenue, deposits and kind, regularizing or causing to regularize irregularities, recovering or causing to recover, writing off or causing to write off, and achieving or causing to achieve results according to the targets set by the budget and programs.

(w) "Accounts" means the initial entry slips (vouchers) maintained according to prevailing law to show details of transactions, and the records, ledgers, books etc. prepared on that basis, and supporting documents verifying or confirming such transaction, and financial statements and reports prepared on that basis, and such term also includes records maintained through electronic means or electronic records verifying transactions.

(x) "Appropriation" means the amount appropriated for expenditure for specified services and functions under different headings to different offices by the Appropriation Act, Vote on Account Act, or Advance Spending Act, and such term also includes amounts appropriated pursuant to the Supplementary Appropriation Act and Vote on Account Act.

(y) "Fiscal Responsibility" means the responsibility, accountability and compliance towards the results obtained from, as well as the obligation to bear, in order to improve financial outcomes and maintain fiscal discipline, transparency and accountability.

(z) "Financial Statement" means a statement prepared according to prescribed accounting standards, showing the aggregate position of transactions during a specified period, clearly indicating headings, for the purpose of showing the overall situation based on accounting standards approved by the Government of Nepal, and such term also includes budget estimates, disbursement, expenditure, income, deposit, and receipt and payment statements showing outstanding amounts, as well as other prescribed statements and related accounting notes and disclosures.

(aa) "Federal Consolidated Fund" means the Federal Consolidated Fund pursuant to Article 116 of the Constitution.

(ab) "Secretary" means the Secretary of a Ministry, and such term also includes, in the case of a Constitutional Body or Agency, the Secretary or administrative head of such Constitutional Body or Agency; in the case of a central level Secretariat or Commission of the Government of Nepal, the Secretary of such Secretariat or Commission; and also includes the Comptroller General.

(ac) "Settlement" means the amended by the first amendment. clearance and write-off work conducted on the basis of explanations or responses submitted along with attached evidence and documents regarding irregularities pointed out in internal or final audit reports, and such term also includes settlement based on suggestions or directives received from the Public Accounts Committee of the House of Representatives.

(ad) "Public Office" means an office with legally recognized public work, duties and rights, whether the

remuneration is fixed or not, to which a person is appointed, elected or nominated in any form.

(ae) "Constitution" means the Constitution of Nepal.

(af) "Local Consolidated Fund" means the Local Consolidated Fund pursuant to Article 229 of the Constitution.

Chapter-2

Operation of the Federal Consolidated Fund and Consolidated Financial Statement

3. Operation of the Federal Consolidated Fund: (1) Subject to the Constitution, this Act and other prevailing laws, the Office of the Comptroller General shall operate the Federal Consolidated Fund.

(2) The Office of the Comptroller General shall be responsible for maintaining updated accounts of the Federal Consolidated Fund and preparing its annual financial statement.

(3) The Office of the Comptroller General may assign responsibility to any office or bank for the operation of the Federal Consolidated Fund and other Government Funds.

(4) It shall be the duty of the concerned office or bank to fulfill or cause to fulfill the responsibility pursuant to sub-section (3). Added by the first amendment.(4a) For balancing the Federal Consolidated Fund, the Ministry of Finance may deposit, fully or partially, the balance amount remaining in other Government Funds established pursuant to prevailing law into the Federal Consolidated Fund, with the arrangement to disburse it from the Federal Consolidated Fund to the concerned Fund at the time the liability arises. The Office of the Comptroller General shall maintain accounts of the amount received from such Funds. Added by the first amendment.(4b) After the commencement of this sub-section, the Office of the Comptroller General shall update the details of other Government Funds except those under sub-section (4a). If it appears unnecessary to keep such a Fund in operation, the Government of Nepal may abolish it at any time.

(5) Other provisions relating to the operation of the Federal Consolidated Fund and other Government Funds shall be as prescribed. 4. Financial Statements of Province and Local Level: (1) The Local Level shall prepare an integrated statement showing details of grants received from the Government of Nepal and Provincial Government, amounts received under revenue sharing, internal income, loans and grants, and expenditures for offices within its jurisdiction, and send it to the concerned Provincial Account Controller Office and the Fund and Account Controller Office.

(2) The Provincial Account Controller Office shall, based on the details of grants received from the Government of Nepal, amounts received under revenue sharing, internal income, loans and expenditures of the Provincial Government for offices within its jurisdiction, and the statement received pursuant to sub-section (1), prepare a consolidated financial statement of the financial transactions of the Local Levels within the province and send it to the Office of the Comptroller General.

(3) When sending the statement pursuant to sub-section (1) or (2), it shall be sent in the format prescribed by the Auditor General. 5.

Preparation of Consolidated Financial Statement: (1) The Office of the Comptroller General shall be responsible for preparing a consolidated financial statement based on the financial statements of the Federal Consolidated Fund, Provincial Consolidated Fund, Local Consolidated Fund, and other Government Funds.

(2) The Federal, Provincial and Local Levels shall prepare financial statements according to accounting standards approved by the Government of Nepal. (3) The Fund and Account Controller Office shall, for

offices within its jurisdiction, prepare a consolidated financial statement of the financial transactions of the Local Level, including details of grants received from the Government of Nepal and Provincial Government, amounts received under revenue sharing, internal income, loans and grants, and expenditure, as well as the consolidated financial statement of the Local Level's financial transactions pursuant to sub-section (1) of Section 4, and send it to the Provincial Account Controller Office and the Office of the Comptroller General. (4) When sending the statement pursuant to sub-section (3), it shall be sent in the format prescribed by the Auditor General. (5) The Office of the Comptroller General shall, based on the statements received pursuant to sub-section (3) and sub-section (2) of Section 4, prepare a consolidated financial statement and send it to the Ministry of Finance. (6) The Ministry of Finance shall make public the consolidated financial statement received pursuant to sub-section (5) by the end of the month of Poush of each year. (7) Other provisions relating to the preparation and publication of the consolidated financial statement shall be as prescribed.

Chapter-3 Estimation of Revenue and Expenditure

6. Medium-Term Expenditure Structure to be Prepared:

(1) The Planning Commission shall, based on the periodic plan, prepare a framework of the Medium-Term Expenditure Structure for a period of three years in each fiscal year. (2) Each Ministry shall, based on the periodic plan and sectoral policies and plans, prepare a Ministry-wise Medium-Term Expenditure Structure including expenditure projections for the coming three fiscal years, and send it to the Planning Commission and the Ministry of Finance. (3) The Planning Commission shall, in the Medium-Term Expenditure Structure pursuant to sub-section (1), prioritize each proposed project or program, including the macro fiscal framework for the coming three years, the budget and program framework and the results framework, along with activity-wise details of the proposed project or program, the estimated per unit cost of the activity, the estimated time required for implementing the project or program, and the likely results to be obtained therefrom.

Explanation: For the purpose of this sub-section, "proposed project or program" means a project or program for which a feasibility study and detailed study report have been prepared or which, after a feasibility study, can be implemented, that has been entered into the project bank, including details of the project or program and activities with confirmation of the cost estimate prepared for the implementation of such project or program.

(4) Other provisions relating to the Medium-Term Expenditure Structure shall be as prescribed.

7. Estimation of Resources and Determination of Expenditure Ceiling to be Made: Amended by the first amendment.(1) The Planning Commission shall, in coordination with the Ministry of Finance, make a preliminary estimate of resources likely to be available and the expenditure ceiling that can be incurred for the coming three years, by the end of the month of Magh of the current fiscal year, for the purpose of preparing the Medium-Term Expenditure Structure and the budget and programs for the coming fiscal year.

(2) For the purpose of sub-section (1), there shall be a National Resource Estimate Committee under the chairpersonship of the Vice-Chairperson of the Planning Commission.

(3) The Resource Estimate Committee pursuant to sub-section (2) shall estimate the total national resources for the Federal, Provincial and Local Levels for the coming three fiscal years, based on the investment and financial requirements projected in the periodic plan.

(4) When estimating resources pursuant to sub-section (3), the estimate shall be made objectively based on the annual macroeconomic indicators of the last fiscal year and the six-month indicators of the current fiscal year, as well as revenue likely to be available in the coming fiscal years, development assistance, internal loans, and other amounts that may be deposited into the Federal Consolidated Fund.

(5) After the estimation of resources pursuant to sub-section (3), the expenditure ceiling shall be determined considering the current year's Medium-Term Expenditure Structure as well.

(6) When determining the expenditure ceiling pursuant to sub-section (5), it shall be done in a manner that does not adversely affect macroeconomic stability, including the amount of liabilities created pursuant to Section 12 and the amount remaining to be paid according to commitments made, within the expenditure ceiling. Amended by the first amendment.(7) The Resource Estimate Committee shall submit a report on the estimation of resources and determination of expenditure ceiling prepared pursuant to sub-sections (3) and (5) to the Minister of Finance by the seventh day of the month of Falgun of each year.

(8) The composition, other functions, duties and powers of the Resource Estimate Committee pursuant to sub-section (2), and other provisions relating to the determination of the expenditure ceiling shall be as prescribed. 8.

9. Budget Proposal and Discussion: (1) The Accounting Officer shall, subject to the budget ceiling and guidance received pursuant to Section 8, prepare a budget proposal including policies and programs for the coming year for themselves and their subordinate offices or bodies in the Line Ministry Budget Information System (LMBBIS) and send it to the Planning Commission and the Ministry of Finance within the time specified in the budget ceiling and guidance.

(2) When making the budget proposal pursuant to sub-section (1), the following shall be done:-

- (a) Prepare the budget proposal based on the functions assigned to the concerned Ministry according to the Government of Nepal (Allocation of Business) Rules, existing government policies, and the objectives, policies and programs specified by the periodic plan,
- (b) Consider the Medium-Term Expenditure Structure prepared pursuant to Section 6, determine the projects or programs to be implemented accordingly and the activities under them, the estimated cost based on the prescribed expenditure norms, and the source to bear such cost,
- (c) Project expenditure and resources for the budget estimate of the coming fiscal year and the subsequent two fiscal years, including liabilities created,
- (d) Propose the amount to be paid in the coming year out of liabilities arising from multi-year procurement and special circumstances, and the amount remaining unpaid from previous years,
- (e) Prepare the budget proposal after cost-benefit analysis of programs that help achieve sectoral targets and objectives of the periodic plan,
- (f) Propose amounts for projects entered into the Project Bank,
- (g) Include the financial and physical progress statement of the last fiscal year and up to six months of the current fiscal year.

(3) Amended by the first amendment.(3) The Planning Commission shall discuss the proposed budget and programs received pursuant to sub-section (2) regarding sectoral targets and achievements, feasibility study report, environmental study, detailed study, norms, drawing and design, project approval documents, land acquisition, project implementation schedule, procurement master plan and annual procurement plan, and expected results of the project, in the presence of the Accounting Officer or the officer designated by them, and submit a report thereof to the Minister of Finance.

(4) The Ministry of Finance shall, in the presence of the Accounting Officer or the officer designated by them, discuss the cash flow plan, basis of revenue estimation, timing of revenue receipt, contribution to revenue flow, source-wise, expenditure heading-wise and activity-wise matters, in addition to the report pursuant to sub-section (3).

(5) There shall be a Budget Committee under the chairpersonship of the Accounting Officer or an officer designated by them to coordinate work related to program and budget formulation under a Ministry or Body and to determine expenditure norms.

(6) The composition, functions, duties and procedures of the Budget Committee pursuant to sub-section (5) shall be as prescribed.

(7) Other procedures and time limits relating to budget formulation shall be as prescribed.

10. Budget Appropriation: (1) The Ministry of Finance shall propose a budget for the coming fiscal year based on the budget discussion held pursuant to Section 9 and the evaluation and analysis of the proposed budget and programs. When making such budget proposal, the following shall be done:-

(a) When proposing a budget for current and capital expenditure and financial arrangements, submit justification including the clear basis and reasons for creating such expenditure, details mentioned in necessary policies, laws, treaties, agreements, expenditure norms, and for social programs, justification with details of state priorities, targets and results expected consistent with the objectives of the organization,

(b) When proposing a budget for a new plan or program, if it is of a capital nature, propose the amount likely to be spent in the coming year based on an approved feasibility study report along with technical and economic justification,

(c) In the case of projects for which feasibility studies have been conducted, approved, and are being implemented on a continuing basis, propose evidence of continuing project approval, procurement master plan and annual procurement plan or work plan for the coming year as per agreement, and the amount required to obtain results,

(d) When proposing a budget for projects and programs, propose projects and programs that yield higher results or achievements, have higher comparative advantage, and provide high social benefits,

(e) When proposing a budget, it shall be done according to the prescribed expenditure norms.

(2) When proposing a budget pursuant to sub-section (1), amounts for new plans and programs shall be proposed only after setting aside sufficient amounts for expenditures including salaries, allowances and administrative expenses that create expenditure liability according to liabilities and commitments created pursuant to Section 12.

(3) Amended by the first amendment.(3) When formulating the budget pursuant to this Section, the Ministry of Finance may, based on resource availability, expenditure necessity and spending capacity, increase, decrease or modify the budget amount, programs or activities proposed by Ministries and Central Bodies, and finalize the budget. If there is a substantive increase, decrease or modification in the proposed budget and programs, the concerned Accounting Officer shall be informed thereof. 11.

Principles and Priorities of Budget and Programs: Amended by the first amendment.(1) The Minister of Finance shall present to the Federal Parliament the details of the principles of the Government of Nepal's budget and programs and the priorities of projects or programs to be included in the Appropriation Bill, at least fifteen days before presenting the Appropriation Bill for each fiscal year pursuant to this Act. (2) Amended by the first amendment.(2) After the details of the principles and priorities of the budget and programs are presented to the Federal Parliament pursuant to sub-section (1), the Federal Parliament may, after a general discussion thereon, if it deems necessary to include any matter, delete any matter, or give any suggestions or directives in relation thereto, send such suggestions and directives to the Ministry of Finance within seven days. (3) If no suggestions or directives are received within the period pursuant to sub-section (2), it shall not prevent the finalization of the budget and programs. (4) The Ministry of Finance shall, before

preparing the estimates of income and expenditure for the coming fiscal year, make necessary consultations with relevant experts or stakeholders regarding the principles and priorities of the budget and programs to be presented to the Federal Parliament. 12.

Management of Contingent Liabilities and Commitments: (1) The Ministry of Finance shall maintain records in a manner that clearly shows the details of amounts corresponding to liabilities created pursuant to prevailing federal laws, as well as contingent financial liabilities arising from various treaties, agreements or court decisions and orders, or commitments made to grant revenue exemptions, based on which liability has arisen. (2) No office or extra-budgetary public entity shall, without the prior consent of the Ministry of Finance, amended by the first amendment. create financial liability for the Government of Nepal or make expenditure commitments. (2a) Added by the first amendment.(2a) Ministries and Central Bodies may, subject to the criteria determined by the Ministry of Finance pursuant to sub-section (4) of Section 24, and after analyzing the number of continuing and multi-year projects and created liabilities, propose resource consent for multi-year projects to the Planning Commission and the Ministry of Finance, with justification that the created liabilities can be managed within the budget ceiling of the coming year. (2b) Added by the first amendment.(2b) If a proposal is received pursuant to sub-section (2a), the Ministry of Finance may grant resource consent based on resource mobilization and the state of the Consolidated Fund and resource availability. (3) Other provisions relating to contingent financial liabilities, commitment management, and resource consent that the Government of Nepal amended by the first amendment. may have to bear shall be as prescribed. 13. Preparation of Estimates of Revenue and Expenditure: The Ministry of Finance shall include the following details in the estimates of revenue and expenditure:- (a) Details of whether revenue was collected according to the revenue estimate of the previous fiscal year, and whether expenditure was made from the amount allocated to each Ministry and whether the targets according to the expenditure were achieved or not, (b) The Medium-Term Expenditure Structure pursuant to Section 6, (c) Details of programs to be borne for each expenditure heading from the Government of Nepal's resources, foreign assistance and internal loans, (d) Projection of revenue and expenditure for the coming three fiscal years, (e) Details relating to loans, investments and liabilities, (f) Fiscal policy mentioning the strategy to be adopted to maintain economic balance, (g) Macroeconomic situation mentioning the growth rate of Gross Domestic Product, inflation, current account balance and balance of payments position for the coming three fiscal years, (h) Details of tax or non-tax exemptions granted, (i) Details of foreign assistance received in the previous fiscal year. 14.

Estimates of Revenue and Expenditure to be Presented: (1) The Minister of Finance shall present the estimates of revenue and expenditure of the Government of Nepal for the coming fiscal year and the Bill, prepared pursuant to Section 13, to the joint sitting of both houses of the Federal Parliament on the fifteenth day of the month of Jestha of each year. (2) Before presenting the estimates of revenue and expenditure pursuant to sub-section (1), the Minister of Finance shall present the Economic Survey of the current year to the Federal Parliament. 15. Deficit Budget May be Presented: (1) The estimates of revenue and expenditure to be presented pursuant to Section 14 may be presented as a deficit budget as necessary. (2) When presenting a deficit budget pursuant to sub-section (1), the clear basis for mobilizing resources to meet the budget deficit shall also be stated. (3) Notwithstanding anything contained elsewhere in this Section, a deficit budget shall not be presented to meet administrative expenses. 16. Projection of Macroeconomic Targets: Projection of macroeconomic targets shall be made as prescribed based on revenue mobilization, utilization of internal and external loans, and policy relating to overdrafts to be taken by the Government of Nepal. 17. Classification of Projects and Project Bank: (1) The classification of projects to be operated by the Government of Nepal at the Federal, Provincial and Local Levels shall be done by the Government of Nepal

on the recommendation of the Planning Commission. (1a) Added by the first amendment.(1a) When classifying projects pursuant to sub-section (1), the total cost of the project, the minimum limit of annual appropriation amount, and technical aspects shall also be taken as a basis. The total cost of the project and the minimum limit of appropriation for each fiscal year shall be determined before the start of the budget formulation schedule. (2) There shall be a Project Bank at the national level in the Planning Commission. (3) The concerned Ministry shall get projects entered into the Project Bank pursuant to sub-section (2) based on the criteria prescribed by the Planning Commission. (4) Other provisions relating to classification, basis and determination of criteria for projects, and the Project Bank shall be as prescribed. Chapter-4 Budget Disbursement, Expenditure and Control 18.

Budget Disbursement: (1) After the commencement of the Appropriation Act or the Vote on Account Act, an office may, on the basis of the approved budget statement and annual program, incur expenditure from the amount mentioned in the schedule of the Appropriation Act in accordance with this Act. (2) In case the appropriated amount mentioned in the schedule of the Appropriation Act has to be spent by more than one office, the concerned Ministry or Body shall, within seven days of the issuance of the Appropriation Act or the Vote on Account Act, allocate source-wise to the concerned department or office, along with the results and achievements to be attained, and authorize expenditure. (3) Information about the authorization given pursuant to sub-section (2) shall be sent immediately to the Ministry of Finance, the Office of the Comptroller General, and the concerned Fund and Account Controller Office. (4) If it is necessary to operate a program and incur expenditure through an office under another Ministry or Body from the amount appropriated under one Ministry or Body, the Secretary of the appropriating body shall grant authorization to incur expenditure to the Secretary of the concerned Ministry or Body. (5) The Secretary granting authorization pursuant to sub-section (4) shall be accountable as the Accounting Officer, and the Secretary receiving authorization to incur expenditure shall cause to fulfill the duties and responsibilities of both the Responsible Person and the Accounting Officer. (6) The amount appropriated or allocated in the name of the concerned office shall be disbursed from the Federal Consolidated Fund based on the payment order of that office through a single account fund system or other prescribed system according to the procedure prescribed by the Office of the Comptroller General. (7) The Head of the concerned office shall be responsible for receiving disbursement pursuant to prevailing law, incurring expenditure, maintaining accounts, reporting, arranging for audit, and settling irregularities of the amount appropriated or allocated in the name of the concerned office. (8) Other procedures relating to disbursement and payment of government money and operation of funds shall be as prescribed. 19.

Implementation of Approved Budget and Programs: (1) If expenditure is not made in accordance with the approved budget target for his/her office and subordinate offices, the Accounting Officer shall be responsible therefor. (2) The duty and responsibility of implementing the budget shall be of the concerned Accounting Officer and subordinate Responsible Persons, subject to the approved budget and programs pursuant to the Appropriation Act or other Act. (3) The officers pursuant to sub-section (2) shall prepare an action plan in accordance with the direction of the Ministry of Finance or the Supervising Office and implement or cause to implement the budget. (4) The action plan pursuant to sub-section (3) shall include, as prescribed, the annual procurement plan, monthly cash flow statement, achievement measurement indicators, and implementation timeline. (5) For the implementation of the budget and programs, the departmental head or Responsible Person shall enter into a performance agreement with the Secretary, and the Head of Office or Responsible Person shall enter into a performance agreement with the departmental head, including necessary result indicators. (6) An officer or Responsible Person achieving excellent results in the performance pursuant to sub-section (5) may be rewarded by the authority entering into the performance agreement, subject to the

conditions mentioned in the performance agreement. (7) Other provisions relating to the performance agreement and criteria for reward to be made pursuant to this Section shall be as prescribed. 20. Re-appropriation, Source Transfer and Program Modification: (1) If there is a shortfall in a budget sub-heading under one budget code mentioned in the Appropriation Act, the Ministry of Finance may, within the limit mentioned in the Appropriation Act, make re-appropriation from the amount that will be saved in sub-headings under one or more other budget codes mentioned in that Act. (2) If there is a shortfall in current expenditure under a budget sub-heading under the budget code of his/her Ministry or Body, the concerned Secretary may, within the limit mentioned in the Appropriation Act, make re-appropriation from other current budget sub-headings where amount has been saved under that budget code, in a manner that does not change the source of expenditure, to current expenditure headings as prescribed: Provided that, while making such re-appropriation, amounts appropriated for mandatory obligations such as salary, remuneration, allowance, uniform, food, water and electricity, communication charges and house rent, and for capital expenditure, shall not be re-appropriated to current expenditure. (3) The Ministry of Finance shall make re-appropriation of capital expenditure, financial arrangement and loan repayment. (4) The Ministry of Finance shall have the authority to transfer source from one source of expenditure under the Appropriation Act to another source, and to change the payment method.

Added by the first amendment.(4a) If a program under the approved budget and programs cannot be implemented, and the amount appropriated for such program needs to be spent on any other activity within the approved program, the Ministry of Finance may, on the recommendation of the Ministry, modify the program. Added by the first amendment.(4b) If a foreign grant or loan agreement is concluded in the middle of a fiscal year and additional amount needs to be included in an ongoing project, the Ministry of Finance may, upon request from a Ministry or Central Body, re-appropriate or transfer source for such project, provided that the total amount under the foreign assistance heading included in the Appropriation Act is not exceeded. Added by the first amendment.(4c) Notwithstanding anything contained elsewhere in this Section, if expenditure has to be made on disaster management and immediate source arrangement is necessary, the Ministry of Finance may, within the limit of the total annual budget, include additional programs or activities in the approved program of the Ministry or Central Body and make re-appropriation, source transfer or additional disbursement.

(5) Other provisions relating to re-appropriation, source transfer and program modification of the budget shall be as prescribed. 21. Budget Freeze or Control and Surrender: (1) Notwithstanding anything contained in Section 18, considering the economic situation of the country and the amount remaining in the Federal Consolidated Fund, the Ministry of Finance may, as necessary, fully or partially freeze or control the appropriated amount other than the amount creating expenditure liability on the Federal Consolidated Fund.

(2) If the amount appropriated in the Appropriation Act that needs to be divided among various bodies and subordinate offices is not divided by the Accounting Officer by the end of the month of amended by the first amendment. Ashwin of the fiscal year, the Ministry of Finance may freeze such amount.

(3) If any amount included in the Appropriation Act and the program operated from such amount is not spent by the end of the month of amended by the first amendment. Falgun of the fiscal year, or cannot be spent in the remaining period, the Accounting Officer shall surrender such amount to the Ministry of Finance by the fifteenth day of Chaitra.

(4) If the amount not surrendered pursuant to sub-section (2) or (3) is not divided according to the expenditure details, or is not spent by the end of amended by the first amendment.

Falgun, or cannot be spent in the remaining period, the Ministry of Finance shall freeze such amount and cause it to be surrendered.

(5) If a letter is received from the Ministry of Finance for surrender pursuant to sub-section (4), the Accounting Officer shall surrender such amount within seven days and send it to the Ministry of Finance.

(6) The amount surrendered pursuant to this Section may be re-appropriated by the Ministry of Finance to

28. Deposit of Cash and Kind and Accounting: (1) The responsible person shall, in the case of government cash under their responsibility, deposit it at the appropriate place and maintain records on the same day or the next day, and in the case of goods in kind, within seven days.

(2) If it appears that government cash under their responsibility has not been deposited at the appropriate place on the same day or the next day, if the delay is up to ten days, the concerned controlling office or departmental head shall impose a penalty of ten percent of the outstanding amount and the amount to be deposited, and cause that to be deposited as well, and if the delay is longer, impose a penalty at the rate of ten percent and cause it to be deposited, and may also initiate or cause to initiate departmental action in accordance with the prevailing law based on the severity of the offense. Provided that, considering the distance between the bank and the office, if the Office of the Comptroller General has specified a deadline for depositing cash, it must be done according to that deadline.

(3) If the responsible person is unable to maintain records of the deposit of cash and kind within the period mentioned in sub-section (1), they may request an extension of the period from the officer one level above, stating reasonable cause.

(4) Upon receipt of a request for an extension of the period pursuant to sub-section (3), if the officer one level above finds reasonable cause, they may grant an extension of up to a maximum of thirty days, either at once or in two installments. 29.

Submission of Accounts and Financial Statements: (1) The Office of the Comptroller General shall submit, within the specified period, the accounts of additional foreign grants, loan assistance, and investments of the Federal Consolidated Fund, and the consolidated financial statement of the central accounts including appropriation, revenue, deposits, and other funds for each fiscal year to the Office of the Auditor General. (2) The Account Officer shall prepare the central financial statement of all income and expenditure of each fiscal year of subordinate offices added by the first amendment and public entities outside the budget system (extra-budgetary), and submit it to the Office of the Comptroller General and the Office of the Auditor General within the specified period. (3) The responsible person shall submit the accounts of the transactions of their office and related documents to the Account Officer or the office designated by them, or to the Auditor General, within the specified period and as prescribed. (4) If a request for an extension of the period is made by showing a reasonable cause for the inability to submit the account statements pursuant to sub-sections (2) and (3), the officer one level above may grant an extension of up to a maximum of thirty days. Provided that, while granting an extension of the period in this manner, it must be done in such a way that the timeframe for submitting the central accounts to the Office of the Auditor General is not affected. (5) If the Account Officer or responsible person is unable to submit the accounts and financial statements to the Office of the Auditor General within the specified period and requests an extension of the period by showing a reasonable cause, the Auditor General or an officer designated by them may grant an extension of up to a maximum of thirty days. (6) If an extension of the period is not requested pursuant to sub-section (5), or if the accounts and financial statements are not submitted even within the extended period, the Auditor General may issue a

directive to the Account Officer, if they are the responsible person, or to the officer one level above, if they are the Account Officer, to submit such accounts and financial statements. (7) If an official fails to submit accounts and financial statements even after being directed pursuant to sub-section (6), the Auditor General may send a letter to the concerned ministry to initiate departmental action against that official in accordance with the prevailing law. (8) Other procedures relating to the submission of revenue, cash, kind, and deposits, and maintaining updated accounting records thereof shall be as prescribed. 30.

Recovery of Loss or Damage: If any kind of loss, damage, or harm is caused to the Government of Nepal due to failure to properly maintain transaction accounts required to be kept under this Act, such loss, damage, or harm shall be recovered from the responsible person in the same manner as government arrears. Chapter-6 Internal Control and Audit 31. Internal Control System: (1) All government offices at the Federal, Provincial, and Local levels shall prepare and implement an internal control system for their office and subordinate offices. (2) The Account Officer shall, themselves or through a senior officer under their authority, regularly inspect and supervise whether the internal control system of the office has been effectively implemented or not. (3) The format and procedure of the internal control system shall be as prescribed. 32. Audit and Internal Control Committee: (1) For the implementation of the internal control system, internal and final audit reports, there shall be an Internal Control Committee in each ministry or body as follows: (a) Account Officer of the concerned ministry or body, or an officer designated by them - Coordinator (b) Chief of the Planning Division of the concerned body - Member (c) Chief of the Administration Division of the concerned body - Member (d) Concerned official working in the concerned body, having knowledge and experience in the subject area, designated by the Coordinator - Member (e) Chief of the Monitoring Division or Section of the concerned body - Member (f) Chief of the Financial Administration of the concerned body - Member-Secretary (2) The Committee pursuant to sub-section (1) shall perform the necessary work to ensure that the tasks performed by its office or body and subordinate offices are carried out efficiently and economically, result-oriented, to mitigate financial risks, to make financial statements reliable, and to strengthen and make effective the internal control system by settling or causing to settle irregularities pointed out in the audit. (3) Other procedures of the Audit and Internal Control Committee shall be as prescribed. 33.

Internal Audit: (1) Internal audit of the transactions of each office of the Government of Nepal shall be conducted by the Office of the Comptroller General or the Office of the Fund and Account Controller designated by that office, based on regularity, economy, efficiency, and effectiveness. (2) The responsibility for having the internal audit of its office conducted shall lie with the concerned office chief. (3) The functions, duties, and powers of the internal auditor shall be as follows: (a) To conduct a thorough examination of the accounts, supporting documents, and figures regarding the mathematical accuracy and compliance with the law of transactions related to the performance of work in accordance with the objectives of the concerned body, and according to the accounting directives approved by the Government of Nepal, (b) To review the result-oriented use and effectiveness of resources mobilized during the performance of work of the concerned office or body based on risk analysis, provide recommendations, and present recommendations after evaluating the managerial practices of policy and procedural first aspects including the internal control system adopted, (c) While examining pursuant to clause (a), to inquire into the adequacy of the internal control system of the concerned body, promoting public financial accountability and transparency, and provide recommendations regarding its strengthening and compliance with financial discipline, (d) To inspect, examine, and check the financial transactions and related documents, records, and decisions of the concerned body for the purpose of internal audit. (4) The internal auditor shall conduct an internal audit every three months and submit a report including the details pointed out during the audit along with recommendations to the concerned office or body chief and the controlling office that delegated the authority

within one month of the completion of the internal audit. (5) The internal auditor shall, while performing their duties and exercising their powers, be accountable to the body that deposes them and conducts the internal audit, and shall adhere to integrity, objectivity, confidentiality, competence, and other prescribed conduct as prescribed. (6) The internal auditor shall not provide any information or fact learned during the course of the audit to anyone in any form other than including it in the audit report. (7) No legal action shall be initiated against the internal auditor solely on the basis of exercising the powers pursuant to this Act and conducting internal audit during the course of their performance.

Provided that, if the internal auditor commits an improper act or is proven to have performed duties with mala fide intention, it shall not be deemed to prevent action or prosecution in accordance with the prevailing law.

(8) The Account Officer shall cause the details included in the internal audit report to be settled and reviewed before the final audit and present them to the final auditor.

(9) Regarding the suggestions of the internal audit presented at the time of the final audit, the auditor may present suggestions other than those removed with reasons in the final audit report as their own suggestions.

(10) The Office of the Comptroller General shall, to make the internal audit independent, impartial, and effective, make arrangements to depute employees of the accounts group for internal audit by specifying a minimum period. Provided that the same employee shall not be assigned to both accounting and internal audit work.

(11) The Office of the Comptroller General shall prepare an integrated annual report of the internal audit and submit it to the Minister of Finance within the month of Kartik each year.

(12) Other procedures relating to internal audit shall be as prescribed. 34. Internal Audit of Province and Local Level: (1) The Province and Local Level shall conduct or cause to conduct an internal audit based on the regularity, economy, efficiency, and effectiveness of accounts and financial transactions.

(2) Based on the matters pointed out in the internal audit report pursuant to sub-section (1), it shall be the duty of the concerned Province and Local Level to make necessary corrections.

(3) The Province and Local Level shall constitute an audit committee to examine whether corrections have been made as mentioned in the internal audit report and to take necessary action.

(4) The Province and Local Level shall submit the report presented by the internal auditor and the report on the action taken thereon, in the case of the Province, to the concerned Minister, and in the case of Local Level, to the Chief. 35. Final Audit: (1) Every office shall submit the accounts and financial statements as prescribed of all types of income, expenditure, and transactions and have them finally audited by the Office of the Auditor General.

(2) The Auditor General shall also take the report of the internal auditor as a basis while conducting the final audit. 36.

Accounts and Statements of Transactions to be Submitted: (1) It shall be the duty of the concerned official or responsible person to submit, within the prescribed period, answers to questions asked or accounts and statements requested by the auditor during surprise inspection of the accounts of government cash, kind, income, and expenditure of the office, or during the course of internal or final audit. (2) If the concerned official or responsible person requests additional time, stating a reasonable cause for the inability to submit the requested statement within the prescribed period pursuant to sub-section (1), the auditor may grant them

reasonable time to submit the answers to the questions asked or the requested accounts and statements. (3) If unable to submit answers to the questions asked or the requested accounts and statements within the period given pursuant to sub-sections (1) and (2), the concerned official or responsible person shall be held responsible for the irregularity or defect revealed from that cause. 37. Action on Preliminary Audit Report: (1) Regarding the irregularities pointed out in the preliminary report after audit by the Auditor General, the concerned office shall, within thirty-five days of receiving the notice of such irregularity, settle it as prescribed and submit it to the Auditor General for review. (2) If there is a reasonable cause for not being able to settle and cause review of the matters mentioned in the preliminary report within the period pursuant to sub-section (1), the responsible person may submit a request to the Auditor General for an extension of the period, mentioning the cause. (3) Upon receipt of a request for an extension of the period pursuant to sub-section (2), the Auditor General may grant an extension of up to one month. (4) If the matters mentioned in the preliminary report are not settled or reviewed even within the extended period granted pursuant to sub-section (3), the Auditor General shall inform the Account Officer. (5) After receiving information from the Auditor General pursuant to sub-section (4), the responsibility for performing the task accordingly shall lie with the concerned Account Officer. (6) If the Account Officer fails to fulfill their responsibility within the specified time pursuant to sub-section (5), the Auditor General shall inform the concerned departmental Minister or Minister of State of that fact and include the details of the amount that could not be settled or reviewed in their annual report. 38.

Maintaining Register of Irregularities: (1) The responsible person shall maintain a register of irregularities at the office level which, according to the preliminary audit report under section 37, need to be regularized, recovered, or are determined to be payable. (2) Central-level bodies shall maintain a central register of irregularities of their office and all subordinate offices. (3) While maintaining the register pursuant to sub-sections (1) and (2), registers of internal and final audit reports shall be maintained separately. added by the first amendment.(3a) The Office of the Auditor General shall maintain separate registers of irregularities office-wise, ministry-wise, and central body-wise, and provide information thereof to the concerned Account Officer. added by the first amendment.(3b) The central body shall reconcile and maintain the register of irregularities of its office and subordinate offices and the register of irregularities of the Office of the Auditor General on an annual basis. (4) The Account Officer shall update the register with the irregularities of the internal audit settled and reviewed pursuant to sub-section (8) of section 33 and the irregularities of the final audit settled pursuant to section 39 and settled and adjusted pursuant to section 40, and have them examined during the subsequent period's audit. (5) The procedure for maintaining the register of irregularities shall be as prescribed. 39. Settlement of Irregularities: (1) The primary responsibility and liability for settling irregularities pointed out in the audit by presenting evidence, regularizing them, or recovering them shall lie with the responsible person concerned with the irregularity and the official involved in the financial transaction. If such responsible person or official involved in the financial transaction is not in the office due to transfer, promotion, or other reasons before the irregularity is settled, the responsibility for presenting such records and archives and settling or causing to settle the irregularity shall lie with the current responsible person. (2) If the irregularity is not settled pursuant to sub-section (1), the concerned Account Officer shall cause an inquiry to be made, and if it appears necessary to recover from the official who conducted the financial transaction causing such irregularity to remain and the person involved in the transaction, they shall cause recovery and settle or cause to settle the irregularity.

40. Settlement, Review, and Adjustment of Irregularities: (1) The duty of settling and adjusting irregularities pointed out in the audit report or irregularities to be discussed pursuant to sub-section (1) of section 41 by recovery, regularization, or presentation of evidence shall lie with the concerned Account Officer.

(2) For the purpose of sub-section (1), in the case of irregularities pointed out as recoverable and payable, the Account Officer shall take necessary details or explanations from the official involved in the transaction, cause recovery of such irregularities, and settle or cause to settle them in time.

(3) In the case of irregularities other than those pointed out as recoverable and payable, if evidence with reasons confirming that there is no loss of government cash or kind is obtained, but the procedures required under prevailing law have not been completed, the concerned Account Officer shall, following the procedure as prescribed, regularize and settle such irregularities.

(4) The settled register of irregularities pursuant to sub-sections (2) and (3) shall be sent to the Office of the Auditor General within seven days for deduction from the register, and the Office of the Auditor General shall, after deducting from the register, inform the concerned Account Officer within seven days.

added by the first amendment.(4a) Among the irregularities included in the annual report pursuant to sub-section (1) of section 41, if the amount of irregularity pointed out as recoverable is recovered and evidence presented, documents required to be presented are submitted, advance amounts are settled and evidence presented, or the amount of irregularity regularized by the Account Officer is settled by the authorized officer for review, the Office of the Auditor General shall, after review, deduct it from the register. Information of such deduction from the register shall be given to the Public Accounts Committee and the concerned Account Officer within seven days.

(5) Other procedures relating to the settlement and adjustment of irregularities shall be as prescribed. 41.

Discussion on Annual Report: (1) Regarding the irregularities pointed out in the annual report of the Auditor General, when discussion takes place in the Public Accounts Committee of the House of Representatives, the responsibility for attending the committee meeting, participating in the discussion, submitting opinions, reactions, or written views in that regard, and performing or causing to perform work related to the settlement of irregularities shall lie with the Account Officer. (2) Following discussion in the Public Accounts Committee of the House of Representatives pursuant to sub-section (1), the responsibility for implementing the recommendations presented to the House of Representatives as approved by the House of Representatives shall lie with the Auditor General and the concerned Account Officer. (3) The Auditor General shall, within thirty days, remove from the register of irregularities matters that need to be removed according to the report of the Public Accounts Committee approved by the House of Representatives, and provide information thereof to the Public Accounts Committee and the concerned Account Officer. (4) Monitoring of the work pursuant to this section shall be done by the Public Accounts Committee of the House of Representatives.

42. Irregularity Settlement Committee: (1) To settle irregularities that cannot be settled through ordinary procedure, the Government of Nepal may, after taking the opinion of the Public Accounts Committee and the Auditor General, publish a notice in the Nepal Gazette and constitute an Irregularity Settlement Committee as follows: (a) Member of the committee designated by the Public Accounts Committee of the House of Representatives - Chairperson (b) Deputy Auditor General or Assistant Auditor General designated by the Auditor General - Member (c) Secretary of the Ministry of Finance or at least a gazetted first class officer designated by them - Member (d) Comptroller General or a gazetted first class officer of the Office of the Comptroller General designated by them - Member (e) Chief of Kumari Chowk and Central Treasury Office - Member-Secretary (2) The jurisdiction of the Irregularity Settlement Committee formed pursuant to sub-section (1) shall be as specified by the Government of Nepal. (3) The procedure to be adopted by the Irregularity Settlement Committee formed pursuant to sub-section (1) while settling irregularities shall be as prescribed. 43.

Functions, Duties, and Powers of the Irregularity Settlement Committee: The functions, duties, and powers of the Irregularity Settlement Committee formed pursuant to section 42 shall be as follows: (a) To regularize or waive such irregularities and deduct them from the register of irregularities, based on merit, if irregularities under any constitutional organ or body, ministry, secretariat, department, court, or office that cannot be settled or reviewed through ordinary procedure, other than irregularities determined as embezzlement, misappropriation, and recoverable from audit, are recommended for settlement by the concerned constitutional organ or body, ministry, or secretariat with confirmation that there is no loss of government cash or kind, (b) If the irregularities recommended to the committee for settlement pursuant to clause (a) cannot be settled, to send a letter to the concerned constitutional organ or body, ministry, or secretariat to regularize or recover the irregular amount. Chapter-7 Handover, Auction Sale, and Remission 44. Handover: (1) An employee, upon transfer, promotion, retirement, or going on long-term deputation or leave, shall handover the cash, kind, or government documents under their responsibility as prescribed, within the specified period if any, or within twenty-one days if not specified, and obtain a certificate of handover in the prescribed format. (2) If handover cannot be completed within the period pursuant to sub-section (1) for any reasonable cause, they shall state the reason for the inability to handover within the period and submit an application to the concerned controlling office and act as per the instructions received. (3) If handover cannot be completed pursuant to sub-section (1) or (2), the concerned Account Officer may set a time and cause necessary inquiry within that set time. (4) If a person who does not handover even within the time given pursuant to sub-section (3) is a serving employee, the concerned office chief shall withhold their salary and allowances in accordance with the prevailing law, and if the person has left the service, withhold their pension or gratuity, and if the person is not entitled to pension or gratuity or has already taken gratuity, cause them to be arrested by the police and cause them to handover. (5) If any loss is caused to government cash, kind, or property due to failure to handover in time, the amount of loss and an equivalent amount of penalty shall be recovered from the concerned person in accordance with the prevailing Nepal law. (6) Other procedures relating to handover shall be as prescribed. 45.

Auction Sale: If, upon inspection of goods in kind under this Act and the rules made hereunder, goods are found broken, damaged, and unusable for reuse, or even if goods can be repaired and reused after inspection by a technician, spare parts are not available and repairing would cost more than twenty-five percent of the market price of the goods, or the report mentions that efficiency decreases due to outdated technology, and the office chief, upon inquiry, determines that such goods should be auctioned, they may be auctioned following the procedure as prescribed. 46. Remission: Notwithstanding anything written elsewhere in this Act, government arrears remaining due but uncollectible under this Act, due to natural calamities, accidents, or circumstances beyond control, or due to drought, erosion, decay, or other causes, goods that have not been sold or are not likely to be sold even after lawful auction, and goods and software that are obsolete and unusable, or unsuitable for use due to security reasons, may be remitted as prescribed based on a technical report. Chapter-8 Recovery of Government Arrears 47. Irregularities Not Settled Through Ordinary Procedure to Remain as Government Arrears: (1) If the amount determined by audit as embezzlement or misappropriation cannot be settled and adjusted pursuant to sections 39 and 40, such irregular amount shall be deemed government arrears and recovered from the concerned responsible person. (2) If the amount determined to be recoverable under this Act cannot be regularized, recovered, settled, or adjusted even after trying for three years, it shall be recorded as government arrears and notice thereof shall also be given to the responsible person. (3) The details of the amount recorded as government arrears pursuant to sub-section (2) that is recoverable shall be sent by the concerned Account Officer in writing to Kumari Chowk and Central Treasury Office as prescribed for recovery. (4) It shall be the duty of the

concerned Account Officer to provide necessary assistance to Kumari Chowk and Central Treasury Office for the recovery of the amount pursuant to sub-section (3). 48. Irregular Amount to be Recovered from Property: The irregular amount received for recovery pursuant to sub-section (3) of section 47 shall be recovered by Kumari Chowk and Central Treasury Office from the property of the concerned person in the same manner as government arrears. 49.

Functions, Duties, and Powers of Kumari Chowk and Central Treasury Office: (1) If a letter is received from the concerned body for recovery of amounts recoverable from a responsible person under this Act and other prevailing laws, or amounts payable under a contract with the Government of Nepal that have not been paid, or amounts from a person who has misappropriated government cash or property, Kumari Chowk and Central Treasury Office shall record in the register for recovery of such amount from the responsible person. (2) The duty of recovering the amount recorded in the register pursuant to sub-section (1) shall lie with Kumari Chowk and Central Treasury Office. (3) If, at the time of commencement of this Act, the amount recoverable already recorded in the register at Kumari Chowk and Central Treasury Office appears easier to recover from the concerned Province or Local Level, the register may be transferred to the concerned Provincial Account Controller Office for recovery or causing recovery. (4) Except as provided in sub-sections (1) and (3), if a person liable to pay a fine or penalty under a decision of a quasi-judicial body or authority made by exercising powers conferred under prevailing law fails to pay such fine or penalty, the concerned quasi-judicial body or authority or the chief of such quasi-judicial body shall send the details of such fine or penalty to Kumari Chowk and Central Treasury Office for recovery. (5) Upon receipt of any details pursuant to sub-section (4), Kumari Chowk and Central Treasury Office shall record the register according to such details and recover the fine or penalty under such decision or order from the concerned person in the same manner as government arrears and deposit it into the Federal Consolidated Fund. (6) After the fine or penalty recoverable pursuant to sub-section (5) has been recovered, Kumari Chowk and Central Treasury Office shall provide the details thereof to the concerned Account Officer and the chief of the concerned quasi-judicial body. (7) While recovering the amount to be recovered, Kumari Chowk and Central Treasury Office may exercise powers equivalent to those of a court regarding examining necessary evidence, taking statements, summoning witnesses, and taking action including detention subject to the prevailing law. (8) While recovering irregularity or fine/penalty recorded in the register as determined to be recoverable, Kumari Chowk and Central Treasury Office may recover itself or through other offices. (9) If Kumari Chowk and Central Treasury Office writes to provide assistance in the work of recovering irregular amounts under this section, it shall be the duty of the concerned office to provide necessary assistance. (10) Other functions, duties, and powers of Kumari Chowk and Central Treasury Office and procedures relating to recovery and settlement of irregularities shall be as prescribed.

Chapter-9

Financial Responsibility, Accountability, and Liability

50. Financial Responsibility: (1) The duty of selecting plans, preparing the medium-term expenditure structure, proposing budgets, protecting and managing government property, causing appropriation of budget, and monitoring plans and programs to ensure financial responsibility, in the case of constitutional organs and bodies, lies with the chief of the concerned constitutional organ or body, and in the case of ministries and central-level secretariats and commissions, lies with the departmental Minister or Minister of State of the concerned ministry.

(2) The responsibility of bearing financial responsibility, including maintaining accounts, making expenditures,

and settling irregularities under this Act, shall lie with the concerned Account Officer.

(3) Whether financial responsibility has been borne by the departmental Minister or Minister of State pursuant to sub-section (1) shall be monitored by the Prime Minister, and whether financial responsibility has been borne by the official pursuant to sub-section (2) shall be monitored, in the case of a constitutional body, by the chief of such body, and in the case of other bodies, by the concerned departmental Minister or Minister of State.

(4) The functions, duties, powers, responsibilities, and procedures of the concerned official regarding bearing or causing to bear financial responsibility under this section shall be as prescribed. 51. Responsibility for Preparing Accounts: (1) The responsible person shall prepare and maintain updated accounts of each transaction required to be kept under this Act, clearly showing the details, completing the procedures as prescribed by the prevailing law.

(2) The Account Officer shall, during regular inquiry or inspection of their office or subordinate office, if it appears from audit that transactions have been conducted without completing procedures prescribed by the prevailing law, or any other defect is found, the concerned responsible person shall be held accountable for such transaction or defect. 52.

Responsibility for Operating Financial Administration: (1) The responsibility for overseeing, inquiring, and inspecting as necessary whether subordinate offices have complied with the prevailing law while operating financial administration, and for including the accounts of subordinate offices in the central accounts and having them inspected, shall lie with the concerned Account Officer. (2) If the budget appropriated for its office cannot be spent in accordance with the targeted objectives, the responsibility therefor shall be taken by the chief of the concerned constitutional organ or body in the case of constitutional organs and bodies, and by the departmental Minister or Minister of State of the concerned ministry and the concerned Account Officer in the case of ministries and central-level secretariats and commissions. (3) If irregularity occurs in work related to financial transactions for any reasonable cause, if the responsible person submits the cause to the authorized officer within the prescribed period for regularization, the authorized officer shall make necessary decision in that regard within the prescribed period. (4) Notwithstanding anything written elsewhere in this section, the responsibility for monitoring time to time regarding whether accounts have been kept or not, accounts submitted or not, and audit conducted or not according to this Act or the rules made hereunder, and for internal control and oversight, in the case of constitutional organs and bodies, lies with the chief of the concerned constitutional organ or body, in the case of ministries and central-level secretariats and commissions, lies with the departmental Minister or Minister of State of the concerned ministry, in the case of a department or an office having existence and jurisdiction equivalent to a department, lies with the secretary of the concerned ministry, and in the case of an office, lies with the departmental head of the concerned controlling office. 53. To be Held Accountable: (1) The concerned person shall be responsible, according to this Act or the regulations made hereunder, for transactions conducted under an order or directive given by a person holding a public accountability position or for transactions conducted by themselves. (2) Employees and officials preparing, checking, submitting, and recommending documents related to transactions under this Act or regulations and prevailing laws made hereunder shall bear the responsibility for the work performed by them and related transactions, and they themselves shall be held accountable for such work. 54.

Action to be Taken in Case of Misuse or Embezzlement of Government Cash or Kind: (1) If embezzlement or misuse appears during the storage of government cash and kind in the office, during internal audit, final audit,

or any type of inspection or inquiry, the concerned office chief or controlling office or designated authority shall take necessary action against the person committing such embezzlement or misuse in accordance with the prevailing law. (2) If any amount or kind of government treasury or goods store appears embezzled during final audit, the Office of the Auditor General shall send a letter with its opinion to the concerned office chief or departmental head to initiate action against the person committing such embezzlement according to the prevailing law. (3) If the concerned authority fails to take action during inspection or inquiry pursuant to sub-section (1) or upon receiving a letter for action pursuant to sub-section (2), the departmental head may impose a fine of up to five hundred rupees on such authority, and if the departmental head fails to take action, the departmental Minister or Minister of State may, in the case of an Account Officer, and the chief of the constitutional organ or body may, in the case of the administrative chief of a constitutional organ or body, impose a fine of up to five hundred rupees and also initiate departmental action according to the prevailing law. (4) If the Auditor General believes that accounting work of any office has not been done in due time, they may call for relevant documents and have them examined, and if any error or defect appears during such examination, they shall send it to the concerned controlling office for necessary action. The concerned office must also take immediate necessary action upon receiving such a letter. 55. Protection of Government Property or Assets and Use for Specified Work: (1) It shall be the duty of the responsible person to make arrangements for the protection of all cash and kind received in the office. (2) Cash or kind received in the office shall not be used or spent for any work other than the specified work. If any employee is found to have used government property without the approval of the authorized authority, the responsible person shall take back such kind or recover the amount spent and send a letter to the departmental head for departmental action. (3) If a person has brought government kind into personal use or allowed its use, all types of damage and loss caused to such government kind or property shall be recovered equally from both the person allowing the use and the person using it. Chapter-10 Miscellaneous 56.

57. Penalty: (1) The following penalty shall be imposed by the following authority on an employee committing the following acts:

- (a) A fine of up to fifty thousand rupees by the officer one level above on the responsible person who fails to make payment pursuant to sub-section (3) of section 24,
- (b) A fine of five hundred rupees by the officer one level above on the responsible person who fails to maintain records even within the extended period under sub-section (4) of section 28, fails to submit accounts even within the extended period under sub-section (4) of section 29, fails to submit accounts and statements under section 36, or is negligent during inquiry under sub-section (3) of section 44 and leaves handover pending,
- (c) A fine of one thousand rupees each time by the chief of the concerned constitutional organ or body in the case of constitutional organs and bodies, by the departmental Minister or Minister of State of the concerned ministry in the case of ministries and central-level secretariats and commissions, by the secretary of the concerned ministry in the case of a department or an office having existence and jurisdiction equivalent to a department, and by the chief of the concerned controlling office in the case of an office, on the official who fails to take action after receiving information pursuant to sub-section (3) of section 39,
- (d) A fine of five hundred rupees each time by the controlling office or departmental head conducting or causing such inspection on the concerned responsible person, if it appears during inquiry or inspection pursuant to sub-section (2) of section 51 that transactions have been conducted without completing the procedures prescribed under this Act and the rules made hereunder, or if any other defect appears,
- (e) A fine of two thousand rupees by the authorized authority on the concerned responsible person who commits irregularity in accounting work contrary to sub-section (3) of section 52, and on the authority who

must make a decision but fails to do so within the prescribed period,

(f) A fine of up to three thousand rupees by the officer one level above on an authority who fails to impose a penalty or fine when required to do so under this Act,

(g) A fine of up to five thousand rupees by the officer one level above on a person who violates this Act or the rules made hereunder, other than as mentioned elsewhere in this sub-section.

(2) An employee who is fined under sub-section (1) shall be deemed to have violated the conduct they are required to follow under the prevailing law, and departmental action under the prevailing law shall also be initiated.

(3) Departmental action shall be initiated against the concerned employee who approves projects and programs, proposes budgets contrary to the procedure determined in this Act, or fails to appropriate the budget within the specified time.

(4) Departmental action shall be initiated against the employee who fails to achieve performance results pursuant to sub-section (5) of section 19, or who, without reasonable cause in the case of programs and capital expenditure, achieves physical progress and expenditure below the specified percentage of the appropriated amount.

(5) The Account Officer shall impose a fine equal to the amount of the project or program approved, contract awarded, or procurement process initiated by the employee who approves a project or program, awards a contract, or initiates a procurement process for an amount exceeding the amount appropriated from the Appropriation Act or Advance Spending Act, and if the Account Officer conducts such act, the departmental Minister or Minister of State of the concerned ministry, in the case of constitutional organs and bodies by the chief of the concerned constitutional organ or body, and in the case of ministries and central-level secretariats and commissions, shall impose such fine.

(6) The details of the penalty imposed under this Act shall be recorded in the concerned body and published within fifteen days.